



“Post Covid-19, brokers spent a lot of money to acquire customers. Many of them opened accounts due to the incentives. As fast as they came, they have disappeared faster”

VIJAY CHANDOK
MD & CEO, ICICI SECURITIES



“Broking as an industry has focussed on revenue-maximising day trading and F&O segments, with little effort to build good long-term investment habits”

GAURAV RASTOGI
FOUNDER & CEO, KUVERA

(SIPs) touched a new record of ₹1.56 lakh crore in FY23. Further, the monthly flows have exceeded ₹13,000 crore for each of the past seven months.

But investments alone do not seem to be on retail investors' minds. A large section of market participants believe that the rising rate regime has forced many to review their loans and even prepay or close some of their outstanding borrowings, especially home loans.

“I think the largest amount of money is going to people pre-paying EMIs. As interest rates have risen by 2-2.5 percentage points in the past 24 months, the outgo in terms of various EMIs of the salaried class people has increased by 15-20 per cent, depending upon their loan exposure,” says Modi.

A RETURN TO FORM

Although experts are of the view that the stock markets will probably not see the kind of influx of retail investors that it witnessed in 2020 again, they add that the category has become a significant player in the markets.

“During the Covid-19 period—and in the world of zero interest rates then—[an excessive] amount of money funded broking firms... With that money evaporating, the luring practices of broking firms have come to a sudden halt and therefore, we are seeing a reversal to the true mean as far as [their] activities are concerned,” explains Modi. “So, this is not just transitory, but all the excess that got created because of zero interest rates and free money during Covid-19 is coming back to reality.”

But this does not mean that retail investors are losing their sway on the stock markets. Consider

“With fixed deposit rates for banks crossing 7 per cent, and for well-rated corporates above 9 per cent, we are seeing a lot of money coming into safer FDs [fixed deposits]. The expert view that we are close to the end of the rate increase cycle also makes locking higher FD rates more attractive today,” says Rastogi, adding that gold, too, has benefitted from the heightened risk aversion among retail investors.

Zerodha's Mohammed says that a large portion of funds typically get allocated to fixed-income investments during periods of increased market volatility, and a bearish outlook. This shift reflects investors' desire for more stable returns and reduced exposure to risks associated with equity invest-

ments. Indeed, FD rates—that had dipped below 5 per cent for shorter tenures at one point of time—are hovering around 6-7 per cent, currently. “Fixed-income instruments like FDs, bonds, debt mutual funds (MF) are the flavour of the season. A certain proportion of money has moved from equity to debt. Within equity, focus is more on passive instruments like MFs,” says 5Paisa's Upadhyay.

MFs seem to be a big beneficiary of the trend, even though money invested in funds ultimately goes to stocks if invested in an equity or hybrid scheme, or any scheme that is not a pure debt product.

Interestingly, the cumulative amount of money routed through systematic investment plans